ICAB March-April 2023 Exam
Case Study
Model Answer:

Draft Report

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Subject : Report on Assessment of business operation, advising on accounting & tax issues, regulatory and secretarial matters, evaluation of strategic options, suggestion of investing and financing options, and Ethical issues and sustainable factors.

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1. Executive Summary:

1.1. Evaluation of financial and non-financial performances Biponi.

Analysis of post accounting adjustment financial statement shows that Biponi has achieved decent financial performance for the year 2022. Revenue has been increased to BDT 447,548 million which is 18% higher than the revenue of last year. 67% of this revenue has been earned from commission business and remaining 33% has been earned from customer analytics. Contribution of commission income increased due to hike in website visitor as internet became easily available to the customers.

Cost of revenue has increased by only BDT 13,353 (6.5%). This is because increase of marketplace software & data management expenses by BDT 32,880 million has been compensated by decrease of BDT 21,793 million in facility and logistics management expenses. Because of smaller net increase in cost of revenue but significant increase in revenue, Biponi's gross profitability increased massively by 33.8%. Large finance income and growth in gross profit let to 31% growth in net profitability for the year.

Increase in current ratio to 2.3 indicates that a strong liquidity position and ability to pay off its current obligation. Biponi was able to generate 10.7% return on total asset despite poor asset turnover. However, it generated 15% return on equity which is much higher than average market return.

Besides good financial performance, Biponi has also performed well in terms of non-financial performance. It was able to transform its business to an online marketplace from existing ecommerce sites. It was able to increase massive customer footprint on the website and able to encourage sellers to enlist them as merchant in the online marketplace.

Recommendation to the board includes:

- Maintain or aim to increase current strong financial position and revenue growth.
- Continue to invest on data security even if the expenses are higher in order to avoid litigation and reputational issue.
- Increase efficiency in generating revenue utilizing total assets.
- Utilize the idle cash and focus on increasing revenue-earning activities.
- Improve transaction recording, processing and presentation process.

1.2. SWOT Analysis.

Biponi's online marketplace enables customers to buy from merchants and merchants to sell to customers across the country. It maintains contact with customers through mobile app and Facebook groups to understand their preference and boosting sales to ensure commission income. All sorts of products are made available in biponi's website through merchant relationship to fulfil customer demand. Its current financial position is strong and growing year on year basis.

However, it is incurring significant amount of expenses to keep the marketplace running. Despite not holding inventories, biponi bears the responsibility of collecting goods from merchants and delivering to the customers for which it is highly dependent on third party delivery partners. It uses plastic wrappers and polyethene envelopes in packaging which leads to environmental pollutions.

With the sharp rise of internet users and usage of digital payment method, biponi's market base is increasing rapidly creating great opportunity of future business boom. Due to globalization, Biponi has opportunity to expand to global market utilizing experience of its shareholder IML. It can also diversify business by acquiring an existing business or introducing C2C and B2B business.

Biponi holds huge amount of customer and merchant confidential data which might get breached and lead to reputational and financial loss as well as legal disputes. Emergence of new competitor including F-Commerce, telemarketing and online shops may drive away loyal customers. Fraudulent competitor creates customer distrust leading to decline in digital transactions. Besides new laws and regulations may be introduced by government to restrict certain transactions and increase business monitoring.

Recommendation to the board includes:

- Maintain financial strength and year on year growth rate.
- Ensure customer data protection in order to avoid serious negative consequences.
- Minimize or avoid using plastic wrappers and polyethene envelopes for packaging.
- Raise awareness against fraudulent offers or practices in e-commerce business.
- Comply with government laws and regulations.

1.3. Analyse the Pros & Cons of strategic options:

Both strategic options have their pros and cons, but it appears that acquisition of both digipay and Eagle will result in business diversification. Both options will result in creating new income stream from dividend and result in enhancement of biponi's support business functions. However, acquisition through share exchange will result in reduction of existing shareholders control over Biponi whereas external borrowing will result in monitoring by the external lenders. Both strategic options are from different business sectors where Biponi lacks expertise.

Recommendation to the board:

- Biponi should acquire both options subject to financial viability and management capabilities.
- Make further assessment on Digipay's business forecast to ensure existing shareholders' wealth are maximized through the acquisition.
- Review the financial calculations and assumptions used.
- Negotiate with bank to reduce borrowing rates.

1.4. Determining best share exchange ratio for Digipay acquisition:

Biponi's board is currently considering to acquire 100% shares of 'Digipay', with stock-to-stock option based on either net asset value or discounted future cash flows method. Net asset value methods analysis shows that Biponi has NAV per share of 18.68 and need to issue 1346.4 million shares at 1:0.91 ratio to acquire 100% of Digipay's 1,225 million shares.

In order to determine exchange ratio based on discounted future cash flows, 13% rate has been applied on digipay's free cash flows and 14% on Biponi's free cash flows as conservative approach. Perpetual growth rate of 5% and 7% has been used to determine enterprise value of digipay and Biponi respectively. Enterprise value then allocated to shares in circulation to value per share.

Discounting future cash flows derives enterprise value of 74,543 million for Digipay and 1,289,495 million for Biponi. Per share value of 61 taka and 1035 taka Digipay and biponi stood respectively. This shows that Biponi will have to issue only 72 million shares to acquire 1,225 million shares of Digipay where share exchange ratio will be 1:17.

As share exchange based on discounted cash flow method requires Biponi to issue lower number of shares for acquiring Digipay. Therefore, Biponi should aim to exchange share at 1:17 ratio i.e., 1 share of Biponi for 17 shares of Digipay. As the future cash flows used in the calculation involves estimates and judgements, Biponi should be aware of incremental risks associated with change in the estimation and judgements.

Recommendation to the board:

- Biponi should review the calculation, methods and assumptions used in determining share exchange ratio and perform due diligence to validate data shared by Digipay management.
- Obtain approval in board meeting and AGM/EGM before proceeding with acquisition plan.
- Review and consider the dilution effect of biponi's EPS, DPS and NAV per share due to issue of new shares to digipay shareholders.
- Biponi's management should convince Digipay management to approve share exchange based on discounted cash flows.

1.5. Feasibility of acquisition of Eagle through external borrowing:

Biponi's management plans to acquire Eagle Delivery service Limited at BDT 15,000 million with bank loan subject to positive NPV and a payback period less than 7 years. Discounting 10 years cash flow at 15% borrowing date and considering 4% perpetual growth rate thereafter, a positive NPV of BDT 9.518 million has been derived.

Analysis of undiscounted free cash flows shows that acquisition of Eagle investment has payback period of 6 year and 1 month. As acquisition of Eagle meets both assessment criteria, Biponi can consider to proceed with the investment plan.

Recommendation to the board:

- Biponi's management should accept the Eagle acquisition plan for investment.
- Management should review the numbers used for calculation, methods and assumptions used in determining NPV and Payback period.
- Management should also consider other performance assessments like IRR.
- Management should also look for cheaper alternative to raise finance.

1.6. Advice mutually inclusive acquisition options:

Biponi's board is currently considering is to acquire 'Digipay', and Eagle both of which is financially viable and not mutually exclusive. Therefore, Biponi can acquire both of the entities. However, it would be prudent for biponi not to acquire them simultaneously. Rather it should acquire both of them one after another.

Recommendation to the board:

- Proceed to acquire both entities as both of them are financially viable and mutually not exclusive.
- Biponi should not acquire both entities simultaneously.

1.7. Assessment of sustainability factors of Biponi's business:

Biponi is focusing human sustainability by creating job and self-employment opportunities. It encourages a safe work environment for its own and its delivery partners' employee. Biponi helps to improve its customers and merchants' lifestyle

Biponi aims at women empowerment by bring them to workforce and providing opportunity of economic independence which eventually helps to increase national GDP.

Biponi is contributing to improve digital ecosystem like payment gateway service, payment processing service, customer and transaction data security service etc. It further helps in development of logistics support and delivery service business. Furthermore, Digital transaction in online marketplace helps to boost government revenue through Tax & VAT.

As part of environmental sustainability, Biponi attempts to reduce carbon footprint by using cycle in product delivery and reducing the number of vehicles for product transfer. It further aiming to discontinue to usage of plastic wrappers and polyethene envelops for packaging.

Recommendation to the board

- Biponi should continue to create and maintain a safe work environment for its own, merchants' and business partners' employees.
- Continue to focus on women empowerment by increasing female employees and merchants.
- Encourage customers to transact digitally and ensure compliance with relevant tax laws.
- Increase attempts to reduce carbon footprint and plastic bags as packaging materials.

1.8. Assessment of ethical issues in Biponi's business and operation

Biponi has failed to show ethical behaviour in several instances. Despite having clear independence threat, Biponi has been appointed MAC as auditor without actual AGM. Biponi has significantly non-complied with law by not holding any actual AGM in last 5 years but reported fake AGM details to regulators.

Biponi's site may show fake reviews or hide negative reviews, but it has not taken any initiative to restrict this type of behaviour. Furthermore, it has not taken any initiative to stop counterfeit product delivery by its merchants.

Biponi's own employees and its business partner employees are minimally paid without any overtime or health benefits. It has not taken any actions yet to increase or update the compensation to a fair level.

Biponi is not transparent in its financial reporting. It missed several adjustment entries which may be intentionally.

Recommendation to the board

- Take actions to stop counterfeit product delivery and to report actual customer feedbacks.
- Hold the pending AGMs after performing necessary legal formalities and appoint an independent auditor in the AGM.
- Update employee compensation to fair market level.
- Increase monitoring and transparency in recording and presenting financial transactions.

2. Adjustment for reporting and compliance issues and evaluation of financial and non-financial performances of Biponi. (Requirement-a-1)

2.1. Adjustments required for current reporting and compliance issues

1. Recognition of liability for customer loyalty points (B-Coin):

Biponi introduced B-Coin in early 2022 to increase customer loyalty. These coins can be redeemed by adjusting with future purchase price at ration 4 B-coin for 1 Taka. At the year-end 969,853,995 B-coins were accumulated by the customers and Biponi expects that 40% of these B-coins will be redeemed by customers. So estimated redemption by the customers will be 969,853,995 x 40% x (1/4) = 96.9 million Taka. It can be round it off to BDT 97 million. Although B-coins can be redeemed up to 36 months, it has been assumed that redeemable b-coins will be redeemed in next 12 months. This redeemable amount will be Contract Liabilities and deducted from Current year revenue. Contract liability will be recognized in current liabilities. Following entry will be posted to recognize the contract liabilities:

Revenue	Dr.	97 million	
Contract liabilities	Cr.		97 million

2. Recognition of delivery charge in financial statements:

During the year Biponi collected BDT 53,754 million from customers as delivery charge and reported this logistics service revenue. Biponi retains only 10% of this delivery charge and disburse rest 90% to the delivery partners which has been reported as logistic management expenses. However, this 90% amount is not Biponi's revenue rather it is collection on behalf of the delivery partners. Therefore, this collection and disbursement should not be taken to Biponi's financial statements. Only 10% of the collected amount can be taken as logistics service revenue. Rest of the collected amount (53,754 x 90% = 48,379 million) should be reported as liability and payment to delivery partner will be recorded as reduction of liability instead of expenses. Assuming entire disbursable amount has been paid to the delivery partners, following entry need to be passed.

Logistics service revenue	Dr.	48,379 million	
Facility & Logistics management Exp.	Cr.		48,379 million

3. Product return liability:

Product return from the sale in first 15 days of December is expected to be initiated and hence no product return liability needs to be accounted for. Return liability should be recognized for the sale of last 16 days of December 2022.

Last 16 days total sale over Biponi marketplace was sales of BDT 23,750 million on which 8% commission has been earned by Biponi. Of this amount 5% is expected to be return to the seller as illustrated in from first 15 days of December. Therefore, Biponi's commission income should be reduced by (23,750m x 5% x 8%) = 95 million. A liability to vendors for the same amount should be recognized. Furthermore, on this returned sale, Biponi earns 2% handling charge from the sellers. So, handling revenue will be (23,750m x 5% x 2%) = 24 million.
Accordingly following adjustment entry need to be passed:

Commission Revenue	Dr.	95 million	
Vendor Payable (95m -24m)	Cr.		71 million

Logistics service revenue	Cr.	24 million

4. Segregating VAT from commission income:

Biponi has included 5% VAT on commission income of BDT 311,987 million reported in the financial statements. Therefore, Revenue should be reduced by (BDT 311,987 m*5/105) = 14,857 million. Biponi has deposited BDT 15,000 million to government treasury which has been recorded as payment of processing fees. In order to correct the error following entry should be posted:

Commission Revenue	Dr.	14,857 million	
Advance VAT	Dr.	143 million	
payment of processing fees	Cr.		15,000 million

5. Membership Fees:

During the year Biponi earned BDT 1,294 million as membership fee which has been netted off with payment processing fees. This needs to be separately reported as revenue. Membership fees are monthly and remains valid for 30 days. So, from membership taken by merchants during the month of December, some portion may remain unearned. Assuming average of 15 days membership fee of December will remain unearned, (1,294 m x 15/365) =BDT 53 million needs to be recognized as contract liability or unearned revenue.

In order to correct the adjustment, following entry need to be posted:

Payment processing Fee	Dr.	1,294 million	
Membership Fee Revenue	Cr.		1,241 million
Contract liability	Cr.		53 million

2.2. Evaluation of financial after adjustment

Biponi's financial statement has been adjusted with the accounting adjustments mentioned above. Analysis has been performed on the adjusted financial statements.

Revenue:

After the accounting adjustment, Biponi's revenue of the stands at BDT 447,548 million which has substantially increased by 18% (BDT 70,704 million) from prior year revenue of BDT 376,844 million. Increase in revenue is mostly contributed by commission income which represents 67% of the total income. Another substantial sum is derived from customer analytics (33%), but commission income is the most growing segment of Biponi's revenue as it achieved more than 37% growth in the current year. Biponi's revenue growth can be attributed to the growth of Internet Users and online buyers. Furthermore, Biponi's goodwill as stable online marketplace has boosted up loyal online customer base. In addition, sellers' own initiative to boost up sales also contributes Biponi's commission income. It is expected that commission revenue will contribute to increase at a substantial period in upcoming years.

Cost of Revenue:

Biponi's cost of revenue for the year 2022 has been determined at BDT 220,282 million which has increased by only BDT 13,353 million (6.5%) from cost of revenue of BDT 206,929 million for 2021. Cost of revenue has increased at a minimal rate compared to revenue growth. Cost of revenue has increased mostly due to significant increase in marketplace software & data management expenses which has increased by around 72% (BDT 32,880 million) from prior year. However, this expense increase has been compensated by 47.4% decrease (BDT 21,793 million) in Facility & Logistics

management expenses. Decrease in facility & logistics management expenses indicates that Biponi has achieved increased efficiency in operation. On the other hand, has to spend a significant amount in Software and Data management. This indicates Biponi is focusing of data security as well as increasing website traffic.

GP and GP Margin:

Adjusted gross profit for the year risen to BDT 227,266 which is 33.8% higher (BDT 57,351 million) from prior year gross profit of BDT 169,915 million. This shows Biponi was able to increase its profitability massively by managing Facility & Logistics management expenses than capped Cost of revenue growth at a minimal rate of 6.5%.

During the year Biponi not only increased its gross profit but also increased its gross profit margin. Current year gross profit margin increased to 50.8% compared to 45.1% in prior year. This is largely due to increase in commission revenue growth.

Net Profit Margin

Similar to exceptional growth in revenue and gross profit, Biponi's net profit has also experienced a healthy net profit margin of 31% compared to prior year net profit margin of 21%. Net profit for the year stood at BDT 140,272 million which has increased by nearly 75% (BDT 60,038 million) from net profit of the year 2021. Net profit for the year has increased mostly due to huge increase in finance income and small increased in administrative expenses.

Current and Quick Ratio

Biponi has experienced improvement in its current ratio which has increased to 2.3 from previous 1.9. This indicates that biponi has a strong liquidity position to pay off its current obligation. Current ratio of 2 is considered a good position to hold. Biponi has invested huge amount in its working capital. Larger component of in the current assets is Cash & cash equivalents. Biponi should be cautious about keeping idle cash in its banks. However, this might be due to maintaining cash received from the customers in advance or cash held on behalf of the vendors. Furthermore, current liabilities are very low. Biponi might have used long term loan to pay off the current liabilities which could bring difficulties in business growth.

Quick ratio for Biponi is almost similar to current ratio. It has quick ratio of 2.2 which was 1.8 in prior year. This is due to substantial amount of cash & cash equivalent in the current assets. Only current assets which may not be liquidated immediately is the escrow fund included in the current assets.

Debt to Equity and TIE Ratio

Biponi is moderately geared company and maintained a consistent gearing ratio. Its current year gearing ratio is 0.45 which was 0.47 in prior year. It appears biponi has been keeping gearing lower than 50% in capital structure. Because of slight decrease of debt in the capital structure, finance charge for the year has decrease slightly.

As the finance expense has slightly decreased from prior year whereas operating profit has increased significantly, TIE ratio has experienced a sharp improvement. TIE ratio has increased to 16.5 in the year 2022 in compared to that 11.1 in the prior year. This shows Biponi have strong position in debt serving and increase company's gearing position.

Asset Turnover and Return on Assets

Despite a massive increase in revenue and profitability, asset turnover is very poor for Biponi. Its current asset turnover is 0.34 which also has decreased from 0.35 in prior year. This could be triggered by significant amount of prepayment and advances made during the year. Because Biponi's asset turnover ratio is poor, it should focus on increase its asset utilization efficiency.

Biponi's return on asset is 10.7% in 2022 which was 7.4% in the year 2021. Return on asset has increased sharply due to increase in finance income. As Biponi has substantial amount of cash & cash equivalents, it is only natural that finance income would be higher. This finance income has contributed largely to this significant growth in return on assets. However, this Biponi still needs to improve return from its regular operations.

Return on Equity

Following all the positive trends in 2022, return on equity has also increased. Return on equity after adjustment has been calculated at 15.9% which is much higher in compared to 10.9% from that of for the year 2021. This massive increase is due to significantly increase in net profit for the year contributed by the finance income. This rate of return is much higher than normal market return rate.

2.3. Evaluation of non-financial performance

One of the biggest non-financial performances illustrated by Biponi in the past was converting its ecommerce site to an online marketplace. This has enabled Biponi to transform its business model entirely. However, at present biggest non-financial performance can be measured by increase customer footprint and increase of number of online transactions. Because of Biponi's effort, partnering with sellers and large brands, number of customers and digital footprint in Biponi's website has increased significantly. Biponi has launched its apps which enables its customers and website visitors to access its websites from mobile device as well as from computers.

In order to facilitate payments by customers, Biponi has introduced online payment trough digital gateway as well as through mobile financial service (MFS). This facilitated advance payment by customers and reduce fraudulent purchase by customers. Furthermore, introducing b-coins has increased customer loyalty and customer motivation to purchase more.

One of the key success factors for Biponi is delivery management. It has increased number of delivery points by expanding own delivery resources as well as partnering with third party logistics service providers. Biponi has effectively used deliver partners in collecting cash payment by customers during delivery as well as contact point for customers while returning goods.

Biponi has also focused on increasing number and service to the merchants. It has introduced "Exclusive Section" for the branded shops and to those who want to promote its business to its customers. On the other hand, it has maintained "Universal Section" for the regular merchants. It allowed easy creating of merchant profile at a short time which allowed anyone to become a national level seller without having a physical location. As a result, it created employment opportunity for the society.

Overall Biponi has shown outstanding non-financial performance over the years.

2.4. Conclusion

- Biponi has shown brilliant financial performance for the year 2022. It has achieved revenue of BDT 447,548 million which has substantially increased by 18% from prior year. Increase in revenue has been contributed by Commission Revenue which was earned from increased online transaction at Biponi website.

- Larger sum of the revenue has been contributed by commission income which represents 67% of the total income. Another substantial sum is derived from customer analytics (33%). Commission income increases the number of visitor and customer increased due to easy availability of internet.

- Cost of revenue has increased only BDT 13,353 (6.5%) from that of BDT 206,929 million in 2021. Cost of revenue has increased mostly due to significant increase in marketplace software & data management expenses which has compensated by decrease in facility and logistics management expenses.

- Marketplace software & data management expenses increased by around 72% (BDT 32,880 million) from prior year whereas facility & logistics management expenses decreased by 47.4% (BDT 21,793 million) from prior year.

- Biponi was able to increase its gross profitability massively by 33.8% which has contributed by increase in revenue and decrease in cost of revenue. This has also led to growth in net profitability for the year.
- Biponi has achieved net profit margin of 31% which is 75% higher than prior year. Net profit for the year has increased mostly due to huge increase in finance income.

- Current ratio which has increased to 2.3 which indicates that a strong liquidity position and ability to pay off its current obligation. Current ratio is higher due to large sum of cash & cash equivalents in the working capital structure.

- Biponi is moderately geared with 45% gearing in its capital structure. It was able to generate 10.7% return on total asset despite poor asset turnover. However, return on equity as of 2022 was 15% which is much higher than average market return.

- Apart from good financial performance, Biponi has also performed well in terms of non-financial performance. It was able to transform its business to an online marketplace from existing ecommerce sites. It was able to increase massive customer footprint on the website and able to encourage sellers to enlist them as merchant in the online marketplace.

2.5. Recommendation

- Biponi should aim to continue holding or increasing current level of strong financial position and achieving growth in revenue and profitability.
- Although Biponi has been spending a large sum in software and data management, it should continue to spend of data management and data security. Data security will increase customer confidence and help in avoiding unnecessary litigations. Furthermore, data management will help Biponi to understand customers preference.

- Biponi has 33% revenue from customer analytics. This means Biponi is sharing customer data in exchange of money. Biponi should maintain caution by sharing only customer permitted data.
- Biponi should try to increase asset utilization as the asset turnover is very poor.
- Biponi's net profit is significantly contributed by Finance income arising from idle cash. It should try to utilize the idle cash and focus on increasing revenue-earning activities instead of earning finance income.
- Management should properly incorporate all the necessary adjustment entry at the year end.

3. Evaluate of the Strengths, Weaknesses, Opportunities, and Threats (SWOT) of Biponi's existing business (Requirement a-ii):

3.1. SWOT Analysis:

Strengths

- Biponi enables its customers to purchase desired product from easy comparison of price offerings from multiple vendors and feedbacks from past customer.
- Biponi's online marketplace enables customers to buy from merchants and merchants to sell to customers across the country.
- Maintains direct contact with customers through mobile app and Facebook groups to understand customer preference.
- Ability to understand buyer and seller trends from their user profile for better facilitating online transactions leading to increased commission income.
- Offers all sort and category of products in its online market through merchants in order to fulfil all sort of product demand from the customers.
- Biponi has large number of young customers who are expected to be loyal for a long time.
- Biponi as online marketplace do not have to invest in holding inventories. It rather holds cash on behalf on the merchants earning a short-term interest income.
- Biponi has converted its business into a company which increases stakeholders' trust eases access to fundings.
- Biponi is able to make arrangements with large brands to sell their product at biponi which contributes to biponi's goodwill and increases customer base.
- Biponi website offers its customer to make payment digitally or cash on delivery giving the customers to choose the option suitable to them.
- Biponi has strong financial position which is reflected in its current and quick ratio. Biponi has been maintaining consistent revenue and profitability growth.

Weakness

- Customers planning to make expensive purchase prefers to visit physical shops. Failing to attract those customers will lead to missing a large amount of commission income.
- Biponi bears the responsibility of collecting goods from merchants and delivering to the customers. If product goes missing during these movement, biponi has to compensate the loss.

- Biponi is highly dependent on third party delivery partners for product movement. If delivery partners breaches or terminates the contract, biponi will face significant loss.
- Biponi has to bear 1.5% payment processing fees when collecting digital payment from customers. Further 2% cash discount on digital payment to encourage digital payment increases its expenses and reduces profitability.
- Product might be misplaced or stolen during product delivery. This may create customer dissatisfaction and negative reputation.
- Company has weak management review control over financial reporting process.
- Biponi is not compliant with tax and vat law. Due to complex business nature, it might be monitored by the tax authorities on regular basis.
- Most of the packaging materials used by biponi's merchants include single use plastic wrappers and polyethene envelopes leading to environmental pollutions.

Opportunities

- Increase of Customers is directly linked with increase in internet users and digital payment facilities. As internet access and digital payment is becoming widespread, biponi's customers base are expected to increase in near future.
- Biponi has opportunity to make the marketplace international which will draw interest of international customers and merchants.
- As IML has acquired biponi's share, IML may use its experience of operating internationally to biponi leading to improvement of operating effectiveness and efficiency.
- Cross-promotional offers with big brands are expected to create buzz and increase customer for both sides.
- Biponi may diversify its business by introducing Customer-to-Customer and Business-to-Business model.
- Acquire business partners to have more control on business operation and ensuring business partner are performing assigned job.
- Bangladesh will experience around 72% growth a year in the E-commerce industry and by 2040, around 95% of all purchases are expected to be via eCommerce. This shows great opportunity of booming future business.
- Biponi has easy access and opportunity to raise finance for future expansion.

Threats

- Biponi holds large number of customers' and merchants' confidential personal information. Any breach of these data will lead to reputational and financial loss, decrease in customer confidence and legal disputes.
- Increase in internet users will lead to emergence of competitor marketplaces. Alternative marketplaces like F-Commerce, telemarketing and online shops by direct sellers will drive away loyal customers.
- Government may introduce new laws and regulations like 'escrow service' which will greatly impact business operations.

- Biponi lunched mobile apps which is being used by large number of customers. Hackers may try to hack this app to collect customer data or break into biponi's database which will interrupt its business.
- Fraudulent business by similar competitive online marketplace will create negative reputation to the industry and increased regulatory monitoring. This will be detrimental to the business.

3.2. Conclusion:

- Biponi's online marketplace enables customers to buy from merchants and merchants to sell to customers across the country.
- All sorts of products are made available in Biponi's website through merchant relationship to fulfil customer demand and earning commission income in the process.
- Its current financial position is strong and growing year on year basis.
- It is incurring significant amount of expenses to keep the marketplace running and protecting customer data from leaking in order to avoid serious negative consequences.
- Although Biponi itself doesn't hold inventories, it bears the responsibility of collecting goods from merchants and delivering to the customers for which Biponi is highly dependent on third party delivery partners.
- Biponi uses single use plastic wrappers and polyethene envelopes in delivery packages which leading to environmental pollutions.
- With the sharp rise of internet users and increased use of in digital payment method, Biponi's market base is expected to increase rapidly creating great opportunity of future business boom.
- Biponi has opportunity to expand to international market utilizing the experience of its shareholder IML.
- Biponi has opportunity to diversify its business by acquiring delivery partners and introducing C2C and B2B business mode.
- Biponi holds large number of customers' and merchants' confidential personal information which might get breached and lead to reputational and financial loss as well as legal disputes.
- New competitor including F-Commerce, telemarketing and online shops will emerge and drive away loyal customers.
- Fraudulent competitor will create negative impact in the industry and lead to business loss.
- Government may introduce new laws and regulations imposing restriction and monitoring to the e-commerce sites and online marketplaces.

3.3. Recommendation:

- Continuously update the products and services including website design keeping the site fresh for customers.
- Maintain financial strength and year on year growth rate.
- Ensure customer data protection in order to avoid serious negative consequences.
- Maintain good relationship with delivery partners to ensure delivery without fail.

- Minimize or avoid using plastic wrappers and polyethene envelopes for packaging.
- Regularly monitor market movement including offers and services provide by new and existing competitors.
- Raise awareness against fraudulent offers or practices in e-commerce business.
- Comply with government laws and regulations.

4. Analyse the Pros & Cons of strategic options (Requirement B-i):

Biponi's directors are currently considering between two investment options. First option is to acquire Digipay by share exchange. Other option is to acquire its delivery partner Eagle by external borrowings. Both options are not mutually exclusive. Pros and Cons of each option is assessed below:

4.1. Acquisition of Digipay by share exchange:

Pros	Cons
1. Acquisition can be done without spending any cash. Thus, cash position will remain untouched. 2. Increased control over cash collection process and opportunity to reduce payment processing cost. 3. Introduction of new revenue stream from dividend income. 4. Diversification of business. 5. Increase of business equity.	1. Issue of share to new shareholder will result in decrease control in the business 2. New shareholder will sit on the board and disagree on current business practice. 3. Existing shareholders will face loss if digipay fails to make profit. 4. Dividend pay out to existing shareholders will decrease. 5. Digipay operates in totally different e-commerce segment where biponi's management may not have sufficient expertise to oversee the business.

4.2. Acquisition of Eagle by external borrowings:

Pros	Cons
1. Acquisition will increase control and monitoring of product delivery 2. Reduce number of complains related to product delivery.	1. Biponi will have to ensure cash availability to ensure on time payment. 2. Confidential financial information needs to be shared with bank for borrowing process.

Pros	Cons
3. Shareholding percentage will remain same, and dividend pay-out will increase due to additional revenue stream. 4. Diversification of business. 5. Increased collaboration between Biponi and Eagle.	3. Business will be monitored by the external lenders. 4. Finance cost will increase due to the borrowing despite having idle cash. 5. Might lead to incremental compliance requirements.

4.3. Conclusion:

- Acquisition of either digipay or Eagle will result in business diversification.
- New business stream from dividend income will be created for Biponi from the acquisition.
- Share exchange will result in reduction of existing shareholders control over Biponi.
- External borrowing will result in monitoring by the external lenders.
- Each acquisition will lead to increase control over Biponi's support activities.
- Both acquisition options are from different business sectors where Biponi lacks expertise.

4.4. Recommendation:

- Biponi should acquire both options subject to financial viability and management capabilities.
- Make further assessment on Digipay's business forecast to ensure existing shareholders' wealth are maximized through the acquisition.
- Review the financial calculations and assumptions used.
- Negotiate with bank to reduce borrowing rates.
- Discuss with shareholders and among directors before finalizing the acquisition deal.

5. Determining best share exchange ratio (Requirement b-ii):

5.1. Calculation of share exchange ratios

Biponi's board is currently considering is to acquire 100% shares of 'Digital Payment Solutions Limited', which owns and operates 'Digipay', in exchange of biponi's own share. Digipay's board has also agreed to move with stock-to-stock acquisition. Biponi's board is now planning to compare share exchange ratios on the basis of Discounted future cash flows and net asset value of both companies.

Share exchange ratio will determined based on total enterprise value of both companies and number of shares in circulation.

Share exchange ratio based on Net Asset Value Method:

Adjusted net asset value of Biponi as of 31 December 2022 was (Opening Equity + Adjusted net profit for the year) = 739,301 million + 140,272 million = 8,79,573 million.

Biponi's total number of shares in circulation was 47,080. Therefore, Net Asset value per share is (879,573 ÷ 47,080) = 18.68 Taka. This is to be noted that despite provided information, total number of shares has been used 47,080 million instead of 47,080 for better visibility.

Net Asset value of Digipay is 25,150 million and total number of shares in circulation is 1,225 million. Net asset per share is 20.5 Taka.

In order to acquire 100% shares of Digipay based on net asset, Biponi will have to issue (25,150 ÷ 18.68 = 1,346.4 million shares.

That means biponi will have to issue 1346.4 million shares to acquire 1,225 million shares of digipay. Therefore, the share exchange ratio is 1346.4: 1225 or 1: 0.91

Share exchange ratio based on DCF Method:

In order to determine share exchange ratio through DCF method, total enterprise value of both Biponi and Digipay need to be determined which than will be allocated to total number of shares in circulation. Board apprises cash flows using a discount rate determined by CAPM model.

Board has identified that risk free rate is 8% where market return varies from 12.17% to 13%. Also, board identified that marker risk beta is 1.2. Using these information, CAPM model provides a discount rate between 13% [e.g., 8% + 1.2(12.17%-8%)] and 14% [e.g., 8% + 1.2(13%-8%)] to discount the entities cash flows.

Digipay's management expects 5% growth perpetually whereas Biponi's management expects 7% perpetual growth.

For the purpose of calculation, For Digipay lower discount rate and for Biponi's higher rate has been used as conservative approach to discount the cash flows. Furthermore, it has been assumed that cash flows arise at the end of the year.

Valuation of Digipay:

Item	2023 E	2024 E	2025 E	2026 E	2027 E
Unlevered Free Cash Flows	**6,036**	**6,437**	**6,664**	**6,981**	**7,208**
Terminal Value (@ 5% perpetual growth)	-	-	-	-	94,605
Total unlevered free cash flows	**6,036**	**6,437**	**6,664**	**6,981**	**101,813**
Discount Factor @ 13%	0.885	0.783	0.693	0.613	0.543
Discounted FCF	**5,342**	**5,041**	**4,618**	**4,282**	**55,260**

Total Enterprise value	**74,543 million**
Total shares in circulation	1,225 million
Value per share	**60.85 ~ 61Taka**

Valuation of Digipay:

Item	2023 E	2024 E	2025 E	2026 E	2027 E
Unlevered Free Cash Flows	**84,730**	**89,715**	**101,700**	**111,070**	**119,614**
Terminal Value (@ 5% perpetual growth)	-	-	-	-	**1,828,385**
Total unlevered free cash flows	**84,730**	**89,715**	**101,700**	**111,070**	**1,947,999**
Discount Factor @ 13%	**0.877**	**0.769**	**0.675**	**0.592**	**0.519**
Discounted FCF	**74,325**	**69,033**	**68,645**	**65,762**	**1,011,730**

Total Enterprise value	**1,289,495 million**
Total shares in circulation	1,346.4 million
Value per share	**1,034.6 ~ 1035 Taka**

Therefore, to acquire 100% shares of Digipay based on enterprise value, Biponi will have to issue (74,543 ÷ 1035) = 72 million shares. That means Biponi will have to issue 72 million shares to acquire 1,225 million shares of digipay. Therefore, the share exchange ratio is 72: 1225 or 1: 17.

5.2. Suggestion on better share exchange ratio:

Calculation of the share exchange ratio shows that Biponi have to issue 1346.4 million shares to acquire 1,225 million shares of digipay at 1:091 ratio if Net Asset Value method is followed. However, if the discounted cash flow method is used, Biponi will have to issue only 72 million shares to acquire the same 1,225 million shares of digipay. Share exchange ratio in that case will be 1:17. Comparison of the share exchange ratio shows that biponi will need to issue lower number of shares to acquire Digipay. Therefore, Biponi will be in favourable position if it can settle the acquisition through share exchange at the rate determined using discounted cash flow method.

5.3. Incremental risks of using future cash flows instead of book value:

There are some incremental risks in using estimated future cash flows from using net asset value methods. These risks arise from the estimation and judgement involved in the future cash flows. For example, enterprise value determined depends on the future cash flows which are uncertain. Growth rate that has been used might be different from the actual. If the future cash flows vary, enterprise value will be significantly changed, and the valuation might become invalid.

5.4. Conclusion:

- Biponi's board is currently considering is to acquire 100% shares of 'Digipay', with stock-to-stock option. Acquisition based on either net asset value or discounted future cash flows.
- Net asset per share of Biponi has been calculated as 18.68 Taka. For share exchange based on net asset value/book value, biponi will need to issue 1346.4 million shares at exchange ratio of 1:0.91 to acquire 1,225 million shares of Digipay.
- For share exchange based on discounted future cash flow, lower discount rate (13%) has been used for digipay and higher rate (14%) has been used for biponi as conservative approach.
- Future cash flows are expected grow perpetually at 5% for Digipay's and at 7% for Biponi after the end of 2027 assuming cash flows arise at the end of the year.

- Discounting future cash flows derives enterprise value of 74,543 million for Digipay and 1,289,495 million for Biponi. Per share value for Digipay and Biponi stood at 61 taka and 1035 taka respectively.
- Based on share exchange based on discounted future cash flow, Biponi will have to issue only 72 million shares to acquire 1,225 million shares of Digipay where share exchange ratio will be 1:17.
- Comparison of the share exchange ratio shows that biponi will need to issue lower number of shares to acquire Digipay. Therefore, share exchange based on discounted future cash flows are favourable for biponi.
- Although discounted cash flow method is favourable for Biponi, there are some incremental risks arising from estimation and judgement are associate with estimated future cash flows. Growth rate that has been used and free cash flow estimated might be different from the actual which will cause valuation to vary significantly.

5.5. Recommendation:

- Biponi should perform due diligence to validate data shared by Digipay management.
- Obtain approval in board meeting and AGM/EGM before proceeding with acquisition plan. Similarly, digipay shareholders need to approve the plan in their AGM/EGM.
- Biponi should review the synergic advantage expected from the acquisition.
- Biponi's management should develop business understanding and legal framework of Digipay.
- Review and consider the dilution effect of biponi's EPS, DPS and NAV per share due to issue of new shares to digipay shareholders.
- Biponi's management should convince Digipay management to approve share exchange based on discounted cash flows as this ratio of 1:17 is favourable for biponi.
- Biponi's management should review the numbers used for calculation, methods and assumptions used in determining share exchange ratio.

6. Feasibility of acquisition of Eagle through external borrowing (Requirement b-iii):

In addition to acquisition of digipay, Biponi's management is also considering acquisition of Eagle Delivery service Limited through secured loan form bank. Eagle management has shown their intention to sell the company at BDT 15,000 million. Biponi's management evaluates investment options if the NPV is positive and payback period is below 7 years. Both criteria have to be met in order to selection of the option for investment.

Biponi's bank has offered a bank loan at 12% annual interest with further 3% delinquent charge for overdue instalments. However, management believes it should consider the delinquent charge for assessing the feasibility of the investment plan. Therefore, the borrowing rate will be 12%+3% = 15% which will be used for discounting the post-acquisition free cash flows.

Management has prepared estimated free cash flow for 10 years after deducting necessary interest expenses. It is assumed that cash flows will grow 4% perpetually at the end of 10th year. Net present value of the Eagle acquisition option has been calculated in annexure 5 which shows the net present value of BDT 9,518 million. That means the NPV of the acquisition option is positive. This option can be accepted if it meets the payback period criteria.

Payback period using undiscounted free cash flow:

Year	Investment	Cash Flow Generated	Balance to recover	Required period
0	(15,000)	-	(15,000)	0
1	-	1,900	(13,100)	1
2	-	2,112	(10,988)	2
3	-	2,341	(8,647)	3
4	-	2,588	(6,059)	4
5	-	2,855	(3,204)	5
6	-	3,144	(60)	6
7	-	3,455	3,395	6.01

Analysis of undiscounted free cash flows shows that acquisition of Eagle investment has payback period of 6 year and 1 month which is less than 7 years. As acquisition of Eagle option has both positive NPV and a payback period less than 7 years, this project meets the acceptability criteria and biponi can proceed on with the investment plan.

6.1. Conclusion:

- Biponi's management is considering acquiring Eagle Delivery service Limited at BDT 15,000 million which will be financed through secured bank loan. Investment plan can be accepted if the investment has positive NPV as well as payback period less than 7 years.
- Considering the delinquent charge, Biponi expects to rase the borrowing at 15% annually which will be used to discount the 10-year cash flows prepared by Biponi management.
- It is assumed that the cash flows will grow at 4% perpetually at the end of 10th year.
- Considering all information, calculation of net present value shows a positive balance and determined at BDT 9.518 million.
- Analysis of undiscounted free cash flows shows that acquisition of Eagle investment has payback period of 6 year and 1 month which is less than 7 years.
- Acquisition of Eagle option meets both assessment criteria and can be considered for investment.

6.2. Recommendation:

- Biponi's management should accept the Eagle acquisition plan for investment.
- Management should review the numbers used for calculation, methods and assumptions used in determining NPV and Payback period.
- Management should also consider other performance assessments like IRR.
- Management should also look for cheaper alternative to raise finance.
- Obtain approval in board meeting and AGM/EGM before proceeding with acquisition plan. Similarly, digipay shareholders need to approve the plan in their AGM/EGM.

7. Advice mutually inclusive acquisition options (Requirement b-iv):

Biponi's board is currently considering is to acquire 100% shares of 'Digital Payment Solutions Limited', which owns and operates 'Digipay', in exchange of Biponi's own share. It is further planning to acquire Eagle Delivery Services Limited through bank loan. Analysis of Eagle acquisition shows that the option is financially viable for Biponi. It is assumed that Digipay acquisition is also financially viable as management has already considering acquiring it by exchanging shares.

Available acquisition options are not mutually exclusive. That means accepting one project is not dependent on another one. There is sufficient fund available to finance both options. As both projects are financially viable to Biponi and they are not mutually exclusive, Biponi can proceed to acquire both the entity.

However, acquiring both entities simultaneously may create excessive pressure to Biponi management, employee as they will have to facilitate and manage two more entities. Furthermore, there will be lots of post-acquisition changes in Digipay and Eagle which will be difficult for Biponi to manage. Therefore, it would be beneficial for Biponi to acquire them both but one after another. Alternatively, Biponi can appoint separate project managers to manage the acquisitions separately.

7.1. Conclusion:

- Biponi's board is currently considering is to acquire 'Digipay', and Eagle both of which is financially viable.
- As both projects are financially viable and they are not mutually exclusive, Biponi can proceed to acquire both the entity.
- Acquiring both entities simultaneously may create excessive pressure to Biponi management, employee.
- Management can plan to acquire them both one after another.

7.2. Recommendation:

- Proceed to acquire both entities as both of them are financially viable and mutually not exclusive.
- Biponi should not acquire both entities simultaneously.
- Appoint project manager to manage acquisition process.
- Develop strategies ahead to manage post-acquisition transition difficulties.

8. Assessment of sustainability factors of biponi's business (Requirement C-i).

All business needs to be sustainable in order to continue its business for the foreseeable future. A business can earn sustainability when it achieves Human Sustainability, Social Sustainability, Economic Sustainability and Environmental Sustainability.

8.1. Human Sustainability:

Human sustainability focuses on maintaining and improving the human capital in society by investments in the health and education systems, access to services, nutrition, knowledge and skills.

Biponi is focusing sustainability by creating self-employment opportunities by becoming a merchant in Biponi's online marketplace. Furthermore, it is creating new jobs within biponi as well as in delivery partners' business as delivery person.

Biponi is committed to maintain safety policy for its own and delivery partners employees. It has equipped first-aid kits and fire safety equipment in its office and warehouse. It also designated space for handling heavy products that picked up from merchants and going to customers.

Apart from these, Biponi also donates gift box to orphans on religious holiday as part of their CSR activities.

8.2. Social Sustainability:

Social Sustainability is focused on identifying and managing business impacts, both positive and negative, on people. Social sustainability aims to preserve social capital by investing and creating services to communities and its cultures.

Biponi is creating social impacts by creating self-employment opportunities for the unemployed who can become a merchant in Biponi's online marketplace without having physical location or holding its own inventories. Furthermore, Biponi is creating new jobs within biponi as well as in delivery partners' business who recruits delivery persons.

Biponi facilitate meeting customer demand and product supply in same place which made both seller and customers to transact easily. This saves consumers to visit physical location and merchants to find sellers. As a result, both customer and merchant's lifestyle improve greatly.

Biponi encourages women empowerment and includes significant number of women in the workforce. It has plan to increase female employee in future. In this process biponi is improving economic condition of the women. Furthermore, it co-ordinated with NGOs who helps women in home crafted items and small & cottage industry and selling those times nationwide. This increase merchants in the marketplace as well as helps women to earn money.

In order to increase number of merchants and to facilitate employment opportunities, Biponi runs an online training academy which trains member of the society on the concept of ecommerce. It helps its trainee to set product price so that they do not face any unwanted loss.

8.3. Economic Sustainability:

Economic sustainability aims to maintain the financial capital and improve the standard of living. In the context of business, it refers to the efficient use of assets to maintain company profitability over time.

Biponi's online marketplace helps many individuals and smalls business form remote area of the country to sell its product nationwide and becoming solvent. It is assisting small merchants in pricing their products and product placement to get maximum reach.

Biponi brings large number of customers and merchants to same digital platform which contributes to increase digital transactions. This helps to boost digital payment system which by one hand require to print less quantity of paper money and enables quick transfer and in another hand helps to develop digital payment processor and gateway industry.

One of the biggest economic impacts is that biponi is creating jobs through delivery partners and reducing amount of unemployment. It furthermore adds women into the workforce by employing them and making them as merchant in the online marketplace. As they join in the workforce, their contribution gets recognized in the national GDP and helps to increase it.

Biponi as ecommerce entity and online marketplace contributes to digital economy and development of logistics support or delivery service business as online selling needs to deliver physical goods.

Biponi also helps to increase government revenue through Tax and VAT. A merchant may not be compliant with tax law and might not pay tax to government. However, when they transaction digitally, their transaction becomes part of Biponi's transactions which ensures deduction of applicable tax and VAT and on time deposit to government treasury. Furthermore, biponi's employment results in income tax on salaries paid to the employee.

At present internet penetration rate is relatively low but it is expected to increase significantly in coming years. As the number of internet users will increase, transactions at online marketplace and eCommerce sites will also increase. Thus, will result in increased economic activities.

8.4. Environmental Sustainability:

Environmental sustainability aims to improve human welfare through the protection of natural capital (e.g., land, air, water, minerals etc.). Initiatives and programs are defined environmentally sustainable when they ensure that the needs of the population are met without the risk of compromising the needs of future generations.

As part of environmental sustainability, Biponi encourages delivery persons to use cycle in order to reduce carbon footprint and environmental pollution. It, furthermore, tries to use minimum number of vehicles to transport for product transfer.

Biponi enables merchants to setup their shops online which do not require to physical location. This helps to limit usage of financial and natural resources.

Although Biponi is using packaging materials like single use plastic wrappers and polyethene envelopes which are detrimental to the environment, it is trying to discontinue plastic bags by reducing the use of plastic each year.

8.5. Conclusion

- Biponi is focusing human sustainability by creating job and self-employment opportunities.
- It is committed to create and maintain a safe work environment for its own and its delivery partners' employee.
- Biponi also donates gift box to orphans which also contributes for human sustainability.
- Biponi helps to improve its customers and merchants' lifestyle by facilitating hassle free transaction digitally without physical movement.
- Biponi empowerment by bring them to workforce and providing opportunity of economic independence.
- Women joining workforce as employee or as merchants helps to increase national GDP.
- It runs online training academy which helps existing and new merchants to increase awareness and skill about ecommerce, product pricing and understanding customer demands.
- Through online marketplace, Biponi enable nationwide market for merchants and ensure availability of multiple vendors for the customers.
- Biponi contributes to increase digital transactions which in turn contributes to improve digital ecosystem like payment gateway service, payment processing service, customer and transaction data security service etc.
- As online marketplace, Biponi requires logistics support to deliver physical goods. This helps development of logistics support or delivery service business.
- Biponi also helps to increase government revenue through Tax and VAT from increase economic transaction and bring small merchants under tax net.
- As part of environmental sustainability, Biponi attempts to reduce carbon footprint by using cycle in product delivery and reducing the number of vehicles for product transfer.
- Although Biponi use plastic wrappers and polyethene envelopes for packaging, it is trying to discontinue plastic bags by reducing the use of plastic each year.

8.6. Recommendation

- Biponi should continue to focus on improving sustainability factors.
- Continue to create and maintain a safe work environment for its own, merchants' and business partners' employees.
- Continue to focus on women empowerment and increasing number of female employees and merchants.
- Broaden the reach of online training academy and attach young people to the training academy.
- Encourage customers to transact digitally instead of cash on delivery options to increase digital transactions and bring customers and merchants under tax net to increase government revenue.
- Increase attempts to awareness and reduce carbon footprint.
- Focus more on environmentally friendly packaging materials and discontinue plastic bags usage.

9. Assessment of ethical issues in Biponi's business and operation (Requirement C-ii).

9.1. Ethical issues:

Analysis of Biponi's business and operation shows there are some ethical issues involved. One of them is that Biponi is not transparent in its financial reporting. It missed several adjustment entries in the financial statements which may be intentionally missed out.

Auditor of the company are required to be independent and appointed in the AGM. However, current auditor MAC has been appointed without holding AGM and based on personal recommendation of Biponi's CFO Mr. Anawar Zaman FCA. Therefore, appointment of MAC is invalid and indicates MAC may not be independent. MAC's acceptance of appointment without AGM also highlights ethical issue of MAC's business process and decrease credibility of the audit report.

Biponi did not hold any AGM has been done in last 5 years. However, it has been filling the AGM related documents to regulator through its secretarial service consultant. This is a major non-compliance of law and indicates Biponi's management intention for non-compliance.

Biponi as online marketplace are responsible for monitoring authentic product delivery online and deliver of the right product customer ordered. Furthermore, it is responsible to show actual customer reviews on products which would help future customers to make decisions. There is common allegation from the users of online marketplace that they often receive counterfeit items against expensive branded products. Customers also complains that online marketplaces hights negative feedbacks and encourages fake reviews by the merchants themselves. Biponi as online marketplace has not taken any initiative to stop counterfeit product deliver, to block fake reviews and to show actual customer feedbacks for each product.

Although Biponi encourages employees in maintaining a safe and healthy workplace, it pays very minimal to its employees and force them to work overtime. Furthermore, delivery persons from its delivery partners are underpaid with no health benefits. Biponi has not taken any actions to increase payment or benefits for the employees and delivery persons.

Government has introduced 'escrow service' confront scam ecommerce sites. But there are complains that ecommerce sites report fake review to fee escrow money. Biponi has not yet initiative to avoid such practice.

9.2. Conclusion

- Biponi is not transparent in its financial reporting. It missed several adjustment entries which may be intentionally.
- Current auditor has been appointed without holding AGM and based on personal recommendation. This shows that auditor independence has been jeopardised.
- Biponi has been filling the AGM related documents to regulator without actually holding AGM. This is a major non-compliance of law by Biponi's management.
- Biponi has not taken any initiative to stop counterfeit product delivery by its merchants, to block fake reviews and to show actual customer feedbacks for each product.
- Biponi's has not taken any actions to increase payment or benefits to its own employees and delivery persons from its delivery partners are underpaid with no health benefits.

9.3. Recommendation

- Hold the pending AGMs after performing necessary legal formalities.
- Remove MAC as auditor and appoint a new independent auditor following legal procedures.
- Management should pay fair compensation, overtime and health benefits to its employees and arrange the same for the employees of delivery partners and merchants.
- Take necessary initiatives to stop counterfeit product delivery by its merchants, to block fake reviews and to show actual customer feedbacks for each product.
- Increase monitoring and transparency in recording and presenting financial transactions.

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10. Appendices:

Appendix 1 - Analysis of Adjusted Statement of Profit & Loss:

Biponi Limited
Statement of Profit or Loss and Other Comprehensive Income
For the year ended 30 June 2022

	30-Jun-22	Adjustment	Adjusted 30-06-2022	30-Jun-21	Change	Change %
Sales	509,711	(62,163)	447,548	376,844	70,704	18.8%
Less: Cost of Sales	(282,367)	62,085	(220,282)	(206,929)	(13,353)	6.5%
Gross Profit	**227,344**	**(78)**	**227,266**	**169,915**	**57,351**	**33.8%**
Less: Operative expenses	(141,647)		(141,647)	(112,265)	(29,382)	26.2%
Net operating profit	**85,697**	**(78)**	**85,619**	**57,650**	**27,969**	**48.5%**
Add: Finance Income	101,776		101,776	52,654	49,122	93.3%
Less: Finance Charges	(5,180)		(5,180)	(5,190)	10	-0.2%
Profit before Tax	**182,293**	**(78)**	**182,215**	**105,114**	**77,101**	**73.3%**
Less: Current Tax Expenses	(54,688)	-	(54,688)	(31,534)	(23,154)	73.4%
Deferred Tax income	12,745		12,745	6,654	6,091	91.5%
Profit for the year	**140,350**	**(78)**	**140,272**	**80,234**	**60,038**	**74.8%**
Other Comprehensive Income	-	-	-	-	-	0.0%
	140,350	**(78)**	**140,272**	**80,234**	**60,038**	**74.8%**

Appendix 2 - Analysis of Adjusted Balance Sheet:

Biponi Limited
Statement of Financial Position
As at 31 December 2022

*Amounts in million

	31-Dec-22	Adjustment	Adjusted 31-12-2022	31-Dec-21	Change	Change %
Assets						
Non-current Assets						
Property, Plant & Equipment	276,782	-	276,782	264,935	11,847	4.5%
Investment	247,617		247,617	241,544	6,073	2.5%
Intangible assets	164,334		164,334	160,306	4,028	2.5%
Prepayments, receivables and other assets	161,329	-	161,329	28,018	133,311	475.8%
	850,062	**-**	**850,062**	**694,803**	**11,847**	**1.7%**
Current Assets						
Advance, Deposits & Pre-payments	84,229	143	84,372	58,590	25,782	44.0%
Restricted cash & escrow receivables	19,713		19,713	18,445	1,268	6.9%
Short Term Investment	28,478		28,478	3,262	25,216	773.0%
Cash & Cash Equivalents	330,503		330,503	313,875	16,628	5.3%
	462,923	**143**	**463,066**	**394,172**	**68,894**	**17.5%**
	1,312,985	**143**	**1,313,128**	**1,088,975**	**80,741**	**7.4%**
Equity & Liabilities						
Shareholders' Equity						
Share Capital	470,800	-	470,800	470,800	-	-
Retained Earnings	408,851	(78)	408,773	268,501	140,272	52.2%
	879,651	**(78)**	**879,573**	**739,301**	**140,272**	**52.2%**
Non-Current Liabilities						
Long term borrowings	56,723	-	56,723	35,427	21,296	60.1%
Long term unsecured loans	97,679	-	97,679	76,407	21,272	27.8%
Deferred tax liabilities	9,772	-	9,772	22,517	(12,745)	-56.6%
Other liabilities	27,288	-	27,288	7,654	19,634	256.5%
	191,462	**-**	**191,462**	**142,005**	**49,457**	**287.9%**
Current Liabilities						
Unsecured loans	5,154	-	5,154	22,466	(17,312)	-77.1%
Contract liabilities	-	150	150	-	150	100.0%
Escrow money payable	3,014	-	3,014	8,250	(5,236)	-63.5%
Accruals, provisions & other liabilities	161,536	71	161,607	117,711	43,896	37.3%
Income tax payables	20,190	-	20,190	17,685	2,505	14.2%
Merchant deposits	13,640	-	13,640	10,762	2,878	26.7%
Deferred revenue and customer advances	38,338			30,795		
	241,872	**221**	**203,755**	**207,669**	**26,881**	**37.7%**
	1,312,985	**143**	**1,274,790**	**1,088,975**	**216,610**	**377.8%**

Appendix 3 - Mix analysis:

				-	-
Revenue Mix			**Cost of Revenue Mix**		
Commission	66.3%	57.4%	Payment processing Fee	21.9%	22.2%
Customer Analytics	32.2%	32.1%	Marketplace Software & Data management	55.6%	43.2%
Logistics service	1.2%	10.4%	Facility & Logistics management	22.6%	34.5%
Membership Fee	0.3%	0.0%		0.0%	0.0%
Revenue Growth			**Cost of Revenue Growth**		
Commission	80,555	37.2%	Payment processing Fee	2,266	4.9%
Customer Analytics	22,868	10.6%	Marketplace Software & Data management	32,880	71.6%
Logistics service	(33,960)	-15.7%	Facility & Logistics management	(21,793)	-47.4%
Membership Fee	1,241	0.6%			

Appendix 4: Ratio Analysis:

		31-Dec-22	31-Dec-21
1	Current Ratio	2.3	1.9
2	Quick Ratio	2.2	1.8
3	Debt to equity ratio	0.45	0.47
4	Asset Turnover Ratio	0.34	0.35
5	TIE Ratio	16.5	11.1
6	Return on Asset	10.7%	7.4%
7	Return on Equity	15.9%	10.9%

Appendix 5: Net present value calculation of Eagle Acquisition:

in million BDT

Year	**0**	**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**	**10**
Investment required	(15,000)	(750)	(750)	(750)	(750)	(750)	(750)	(750)	(750)	(750)	(750)
Net Profit	-	2,650	2,862	3,091	3,338	3,605	3,894	4,205	4,542	4,905	5,297
FCF	**(15,000)**	**1,900**	**2,112**	**2,341**	**2,588**	**2,855**	**3,144**	**3,455**	**3,792**	**4,155**	**4,547**
Terminal value	-	-	-	-	-	-	-	-	-	-	42,993
Total cash flow	**(15,000)**	**1,900**	**2,112**	**2,341**	**2,588**	**2,855**	**3,144**	**3,455**	**3,792**	**4,155**	**47,541**
PVIF, 15%, 10 years	1	0.870	0.756	0.658	0.572	0.497	0.432	0.376	0.327	0.284	0.247
Discounted CF	**(15,000)**	**1,652**	**1,597**	**1,539**	**1,480**	**1,420**	**1,359**	**1,299**	**1,239**	**1,181**	**11,751**

Net Present Value **9,518 million BDT**

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